

investing is to sustain a living standard while spending down assets over a finite but unknown length of time. The spending needs that will eventually be financed by the portfolio no longer reside in the distant future. In this new retirement calculus, views about how to balance the trade-offs between upside potential and downside protection can change. Retirees might find that the risks associated with seeking return premiums on risky assets loom larger than before, and they might be prepared to sacrifice more potential upside growth to protect against the downside risks of being unable to meet spending objectives.

The requirement to sustain an income from a portfolio is a new constraint on investing that is not considered by basic wealth maximization approaches such as portfolio diversification and modern portfolio theory (MPT). In MPT, cash flows are ignored, and the investment horizon is limited to a single, lengthy period. This simplification guides investing theory for wealth accumulation. When spending from a portfolio, the concept of sequence-of-returns risk (the order that market returns arrive) becomes more relevant, as portfolio losses early in retirement will increase the percentage of remaining assets withdrawn to sustain an income. This can dig a hole from which it becomes increasingly difficult to escape, as portfolio returns must exceed the growing withdrawal percentage to prevent further portfolio depletion. Even if markets subsequently recover, the retirement portfolio cannot enjoy a full recovery. The sustainable withdrawal rate from a retirement portfolio can fall below the average return earned by the portfolio during retirement.

3. Heightened investment risk

As we just discussed, retirees experience heightened vulnerability to sequence-of-returns risk when they begin spending from their investment portfolio. Poor returns early in retirement can push the sustainable withdrawal rate well below that which is implied by long-term average market returns.

The financial market returns experienced near your retirement date matter a great deal more than you may realize. Retiring at the beginning of a bear market is incredibly dangerous. The average market return over a thirty-year period could be quite generous, but if you experience negative returns in the